

investors saw profits year after year. But don't expect happy investors, certainly not after last year. You can also expect your own confidence in what you're doing to be in doubt. At this point, you probably start wondering if you're just a gambler, if you just had some random luck. Can't we just get a really nice and smooth profitable year, just once? Let's see what 2006 can bring.

We go into 2006 heavily long stocks with a massive 29% risk exposure, and we're quite heavily loaded with commodities as well (Table 6.17, Figure 6.25). Quite a risky portfolio, but trend following is all about taking risk when risk is good. For all the diversification potential, when the trends are really on, these kinds of trading models tend to build concentrated exposure to a single or a few themes and right now the bet is on a continued bull market (Table 6.18).

TABLE 6.17 Initial portfolio 2006

Market	Direction	Sector
Sugar No. 11	Long	Agriculture
Lean Hogs	Long	Agriculture
White Sugar	Long	Agriculture
Corn	Short	Agriculture
Live Cattle	Long	Agriculture
Lumber	Long	Agriculture
Feeder Cattle	Long	Agriculture
Canola	Short	Agriculture
Soybean Oil	Short	Agriculture
Swiss Franc	Short	Currencies
Australian Dollar	Short	Currencies
US Dollar Index	Long	Currencies
British Pound	Short	Currencies
Euro FX	Short	Currencies
Japanese Yen	Short	Currencies
Canadian Dollar	Long	Currencies
DAX	Long	Equities
EURO STOXX 50	Long	Equities
E-mini Nasdaq-100	Long	Equities
E-mini Dow	Long	Equities
E-mini S&P MidCap 400	Long	Equities

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